

MGT 412: New Venture Design

Flex Evening / Full-Time

Fall 2026

INSTRUCTOR

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TEACHING ASSISTANTS

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COURSE DESCRIPTION

This course is the foundational elective to begin shaping your MBA for a career based upon Innovation, Design, or Entrepreneurship. Along with *MGT 452: New Product Development*, it forms the core of the Certificate in Design & Innovation. For those looking to fully prepare their startup to launch post-MBA, it is a prerequisite for *MGT 415: New Venture Development*.

The course will provide experience in transforming an understanding of user need, a company's strategic intent, and the scientific or technological innovation to which the company has access, into viable new lines of business or ventures that bring desirable and profitable new offerings to the world. The course will provide an introduction to the user-based, strategic and operational aspects of sparking an innovation and developing it into a product or service that people will love, as a competitive and sustainable business.

Traditional business planning has generally approached this challenge in a top-down manner, in the sense of being driven by the company's motivations, capabilities, or vision of the future. The newer practice of Design Thinking frames the process as one driven from below. Vital insights as to people's needs and wants are gathered through primary research, and the company takes its direction from the people it serves.

In actual practice, successful companies pursue a hybrid top-down and bottom-up approach, though often without framing this as an explicit process, or even realizing that they are doing so. We will learn the tools that help do this, explore their utility and boundaries, and place them in the context of an overarching framework.

Course materials are a mix of case studies, readings, multimedia, and practical exercises. Online assignments are meant to provide the flexibility for students and teams to adapt workflow to their own schedules, with due dates to ensure that materials are available as needed for peer feedback, instructor feedback, and whole-class discussion.

The peer feedback and whole-class discussion assignments are a vital part of the learning process, because, as managers after graduation, you will need to evaluate and critique the work of others on your team and

across the organization, as well as contributing your own work. Active participation is vital, as much of this can only be learned by doing.

Additionally, teams will meet individually with the instructor, for focused coaching and critique as they develop their concepts and final presentations.

There is a final project, in which student teams will develop a concept that forms the basis of a new line of business, and the accompanying explanation of why this is a compelling offering from the customer's perspective and a compelling opportunity from the business' perspective. We will help you initiate, develop, and refine your concept using the practical exercises throughout the course, and you will present your final concept pitch to the entire class in the third in-person session.

For those students pursuing a startup idea, the team you form and concept you explore this quarter does **not** need to continue into the *Winter New Venture Development* course - many students discover better opportunities and form stronger teams as a result of their experience in this course, and you are absolutely free to pursue those. Others find value in learning the essential tools using a "practice" idea – one free from the preconceptions and assumptions they may have accumulated.

COURSE OBJECTIVES

New Venture Design is an exercise in learning by practical application. This course will ground your approach in the realities of market and user need, and sharpen your ability to craft and articulate both opportunity and solution. By the end of this course, you will be able to:

1. Analyze the factors that focus a company's innovation and new offering development efforts, to articulate a best focus for these efforts, along with a supporting rationale.
2. Perform actual user and market research, analyze the findings, and synthesize to uncover and articulate deep insight as to the users' needs. Combine this with other relevant data to highlight opportunities for new offerings.
3. Construct and articulate viable and compelling positioning for the new offerings and concepts, in order to clarify, communicate, and guide further work.
4. Prototype, test, and refine concepts, to create real value for your customer and to deliver that value through an excellent customer experience.
5. Craft and present a compelling business case, expressing the opportunity, concept, and rationale with an appropriate level of tangibility and specificity.

In summary, this course will refresh, refine, and extend the knowledge, skills, and ability gained in the core curriculum, with an emphasis on uncovering unique insights and opportunities that can drive the creation of new lines of business. The course will push you to go beyond superficial recognitions or merely interesting ideas, and craft offerings that are both compelling and viable.

COURSE ASSIGNMENTS

See grading criteria and schedule.

COURSE GRADING

Your performance will be evaluated as follows:

Component	Percentage
Teamwork	10 %
Class Participation	20 %
Practical Exercises and Submissions	30 %
Team Project Presentation (Presented in final session)	40 %

Attendance: In the MBA curriculum, it is very difficult to make up for an absence, due to the cumulative building of understanding across the sessions we have together. You are expected to attend every class, and you are responsible for the material covered in class whether or not you attend. However, I realize that despite your best efforts you might be forced to miss a class due to unforeseen emergencies. Makeup for the session will depend upon the material covered. Because of our reliance on practical exercises and team work, you should realize that an absence affects classmates as well.

Teamwork: Businesses expect their people to tackle important projects in teams. We will use surveys and direct observation to gauge the effectiveness of your collaboration on team project work in the course, to provide feedback and to assess 10% of your course grade.

Class Participation: Your class participation (contribution to class discussions) will count for 20% of the class grade. To help in preparation, we have suggested "Guiding Questions" for every class in the detailed syllabus. These questions should serve merely as a starting point.

At the beginning of the class, one or more class members will be asked to start the session by addressing a specific question, or by providing an overview of the reading / preparatory exercise. Anyone who has prepared the case or done the exercise should be able to handle such a leadoff assignment. After a few minutes of initial analysis and recommendations, we will open the discussion to the rest of the class. As a group we will try to build a complete analysis of the situation.

You are expected to be an active participant throughout the entire class and to contribute to the quality of the discussion. Please note that the frequency (i.e., the quantity) of your interventions in class is not a key criterion for effective class contribution. Some criteria used to evaluate class contribution are as follows:

- Is the participant an active listener, looking for opportunities to enrich the discussion?
- Are the points that are made relevant to the discussion? Are they linked to the comments of others?
- Do the comments show evidence of analysis of the case / reading / exercise?
- Is there willingness to test new ideas, or are all comments "safe"? (For example, repetition of case facts without analysis and conclusions.)
- Do comments clarify or build upon the important aspects of earlier comments and lead to a clearer understanding of the case / reading / exercise?

Practical Exercises: Innovation and New Venture Creation are cross-functional, time-sensitive, and competitive. As a result, leading-edge techniques are constantly being generated and refined, and most practitioners learn by doing. We will use individual and team exercises as a teaching tool, and to provide information for the final team project. There is no “right” answer for these, but because some of the exercises require outside prep, and because the individual contributions form the basis of a collective learning experience, we will be evaluating your preparation, intensity of application, and thoughtfulness of execution. Your participation in the practical exercises will count for 30% of the class grade.

Team Project: There will be a team deliverable due the last class session which will count for a total of 40% of the class grade. It is intended to take you through an Innovation / New Venture Creation cycle, though it is compacted to be manageable within the constraints of a university course and your schedules. The topic will be the concept you develop over the quarter, and the practical exercises will serve to provide some baseline information to inform the development of this concept and pitch.

We will expect your team to:

- further supplement this with additional research,
- synthesize an understanding of the environment of use,
- uncover opportunities and imperatives for a new product / service in that space,
- prototype critical elements of the new product / service, and
- communicate to the rest of us the vision for the product, and why it is compelling for both user and business.

The final deliverables are in two parts, graded together:

- A 5 minute in-class presentation to the class and instructors, and
- A report on the project in written format, which may be your presentation materials, if they are sufficiently complete.
- Please remember that quality, not quantity, is the key to success in the project.

We may set aside some class meeting time for team project work, and we will be available for consultations and work sessions with the teams. We are happy to help guide and critique your work along the way.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:

<http://academicintegrity.ucsd.edu/process/policy.html>.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will

determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

Artificial Intelligence (AI) Policy and Approach

Generative AI is a disruptive force in both business and education. While many choose to focus on the negative aspects of disruption, leaders of Design and Innovation teams recognize that the disruption of established systems and competitive dynamics also creates opportunities for those who are able to harness the new tools and master the new landscapes created as a result. This is the essence of the concept “Disruptive Innovation” at the heart of Clayton Christensen’s seminal work *The Innovator’s Dilemma*.

We also know from the history of technological advances in design and manufacturing that new tools tend to improve both quality and speed of work for the thoughtful user, and shift the thoughtful adopter’s focus to the higher-value creative and intellectual tasks. Thoughtless (and non-) adopters become obsolete.

The assignments in this course do not lend themselves to simply “having ChatGPT do it;” I know this from experiments we have run in previous quarters of this course. There are, however, elements that we can learn to accomplish better or faster by treating generative AI as an assistant to our work, which further helps us develop our ability to critique and guide innovation work, critical managerial skills. There are also examples of good process that a custom agent can model for us to help us learn to use good process. You will have an opportunity to experience this firsthand through exercises during our in-person sessions and through custom agents I have created for your use in this course, such as the *NPD Ideation Assistant*.

To help us advance our ability to use AI as an effective tool and to identify ineffective uses of AI, I allow its use in this course under the following conditions: **Cite and Critique**.

Cite: Identify which AI tool you used, and for what task(s). Save and forward the prompt and output.

Critique: Give your assessment of how helpful the tool was to you and your team. Identify how it could have been more helpful. I will synthesize these learnings for the class as a whole.

This applies both to any tools you discover and to the custom tools and agents I supply for your use.

COURSE SCHEDULE

The course is arranged to generally follow the flow of activities in a typical Innovation and New Venture Creation cycle, with some adjustment to allow for exercises that must be prepared ahead outside of class. It is “front-loaded,” to ensure that students have the tools needed for the final project. This gives us some flexibility in the final sessions to explore specific topics in greater detail. Depending upon feedback from the class, we can explore topics that expand our range of understanding, such as organizational issues for Innovation and New Venture Creation within large / small / entrepreneurial organizations, process differences in software and biotech/pharma, etc. We actively solicit your input on this.

Session 1 24 Sep 26	Topics	Reading Assignments
Product Vision	Articulating a Tangible Vision: <i>The Expanding Airport</i> Product Analysis: <i>Product I Hate</i> Course overview and flow	None
Study Questions	Think of a time in your past work when you were involved in planning or executing a new product, service, or some kind of new initiative within your company. How did the company decide what to pursue?	
Prep Exercises	Product I Hate - Bring to class a product you actually own that just irritates you. Be prepared to speak for a maximum of two minutes on exactly why this is, and submit a write-up through Canvas (max two paragraphs, and include a photograph of the offending product). - Some prompts to consider: - Does it fail to deliver what it promises? - Does it not understand how to fit into your life? - Is there something else that makes you hate it?	
Session 2 01 Oct 26	Topics	Reading Assignments
Foundations of Design Thinking	Creativity Context and Constraint Critique	https://youtu.be/flKcN2x50rw https://youtu.be/ykumbLhta5U https://youtu.be/P5lty34oaQ
Study Questions	What do you think of the “Jobs to Do” approach described in the videos?	

	- Thinking back on your “Product I Hate,” can you describe the job you hired it to do? Does it do that job? Is it somehow a “bad employee” as it tries to do the job? - Can you think about a product you love using that approach? What unexpected joy or insight to your life does that that product bring?	
Prep Exercises	Getting to Class / Being in Class - Take special note of your relationship to traveling to campus, getting to the classroom, and engaging with class. - Is your perception of it good, bad, or indifferent – why? - How does it fit into the rest of your daily life? - What are you really trying to do when you come to class? Project Teams - Ensure that you are connected and coordinated with your final project team. Discuss your initial interests or ideas for a product and business to use as a learning vehicle here, or potentially to carry forward for further development.	
Session 3 08 Oct 26	Topics	Reading Assignments
Foundations of Design Thinking Framing the Problem	Critique Reframing Beyond Brainstorming	https://www.ted.com/talks/tom_hulme_what_can_we_learn_from_shortcuts https://www.ted.com/talks/reinventing_the_car https://www.youtube.com/watch?v=51qTAbLizil https://www.dropbox.com/s/s6mbskzm6mevqs8/IDEO.m4v?dl=0
Study Questions	How do we move past the vague notion or the initial “concept”?	

Prep Exercises	Project ideas - In your final project teams, think about the ideas you have for a final project product and business. - Use the tools that we learned last class session to lay out your understanding of the Customer / User, Context and Constraints. - Select one interesting prompt; discuss to expand your understanding - Think of possible solutions (at least twenty); select the most promising three. - Submit your work via Canvas (due the Wednesday before class), and be prepared to share it with the rest of the class. In particular, submit: Your Key Insights, the top 20 ideas divided into clusters, the top 3 ideas.							
Session 4 15 Oct 26	Topics	Reading Assignments						
Framing the Problem Developing Customer Understanding	Rivian The Focusing Function Harley-Davidson The Customer Journey Map	- Building Brand Community on the Harley-Davidson Posse Ride, HBS 9-501-015 - Building Brand Community on the Harley-Davidson Posse Ride, Multimedia Case, HBS 9-501-009						
Study Questions	Harley-Davidson - Mirroring how design teams work, we are assigning you individuals upon whom to focus. You must be familiar with all the Posse Riders, and you must be especially prepared to present the rest of the class with a detailed analysis of one individual: <table border="1"> <tbody> <tr> <td>Brad Fountain •</td><td>Alan Landry •</td><td>Lisa Landry •</td></tr> <tr> <td>Barbara Hammet •</td><td>Richard Parry •</td><td>Jeff Peterson •</td></tr> </tbody> </table> - Work as a team to prepare a 10 minute (maximum) presentation on your assigned person. Think about: - What does this person's "normal life" look like? Don't think quantitative demographics, think of the story you would tell if they were your friend, as you describe them to another friend. - Have they created for themselves a different persona when they are on their Harley? What is it? - Try to create a diagram of them in the posse environment - how the posse relates to their real life, how they relate to their bike, to other people, to things on the road, to Harley merchandise, etc.		Brad Fountain •	Alan Landry •	Lisa Landry •	Barbara Hammet •	Richard Parry •	Jeff Peterson •
Brad Fountain •	Alan Landry •	Lisa Landry •						
Barbara Hammet •	Richard Parry •	Jeff Peterson •						

	- The most effective presentations will pull video, still images, and / or quotes from the case materials to illustrate your points vividly. - Submit your work via Canvas (due the Wednesday before class), and be prepared to present it in class. Remember – you are not explaining Harley, you are explaining this one person and their relationship to Harley. - Be careful not to ignore the other people on the ride - you do need to watch their videos to understand Harley's offering and the context for your person. - How accurate and actionable do you think this information and understanding of Harley riders actually is? - Be sure to prepare the whole case. Think about what Harley offers as a product - whether it is defined by the entirety of the objects and services they sell, or whether these are discrete product offerings in themselves. - Go to the Harley website, see how what they present as a product offering matches or doesn't match what you learned from the case. If you are really bored, there are two dealerships in town...	
Prep Exercises	- Prepare the Harley case as a team, as described above. Project ideas (2) - In your final project teams, iterate upon the ideas you have for a final project product and business, being sure to incorporate the critique you received from your classmates. - Use the tools that we learned last class session to more fully explore, in a more structured manner, your understanding of the Customer / User Context, Needs, and Constraints. - Select one or more interesting Trigger; mindmap to expand your understanding. - Brainstorm possible solutions (at least thirty); select the most promising three. - Feel free to use the Ideation Assistant GPT that I have provided on Canvas. - Submit your work via Canvas (due the Wednesday before class), and be prepared to share it with the rest of the class. In particular, submit: The selected Key Insight, the Mind Map, the three resulting Problem Statements, the top 30 ideas divided into clusters, the top 3 ideas.	
Session 5 22 Oct 26	Topics	Reading Assignments
Developing Customer Understanding	Drive-Thru Exercise Reports Primary User Research The Service Blueprint	None

Study Questions	How might we improve the fast-food delivery experience?	
Prep Exercises	Drive-Thru Exercise As we discussed at the end of class, take a trip through a drive-thru with your team all in one car. - You must complete the entire process together - from gathering together as a group, to disbanding and going your separate ways. - Observe carefully what worked well or poorly in the ordering, receiving, and eating experience. Document what you observe in the experience using video, photos, and written notes. - You must complete the entire process as a team - from connecting as a group, choosing where to go, ordering, eating, dealing with the remains of the meal(s), to disbanding and going your separate ways. - The exercise has two deliverables: - Create a video no longer than four minutes to highlight the success and failure points of this “product,” as well as opportunities for improvement. We will view this video in class. - Craft a Customer Journey Map to explain the experience. You will present and explain the Customer Journey Map in class. - Submit your work via Canvas (due the Wednesday before class) and be prepared to present it in class. If you are violently opposed to either eating in your car or fast food, then take a trip together to some other service environment (drive-thru bank teller, for example.)	
Session 6 29 Oct 26	Topics	Reading Assignments
Structuring Customer Understanding	Analysis of Primary User Research Insight-to-Design Frameworks The Product Sketch	None
Study Questions	Looking at your Food Photos, is there a story that this tells about your eating habits, or even your larger lifestyle?	
Prep Exercises	Food Photos - Survey your own cupboard, pantry, refrigerator, etc. – wherever you store or stash food. - Think especially; are there any places other than the obvious kitchen locations where you might “stash” something to eat? - What’s in there?	

	○ Document this with photos – imagine that you are giving someone a tour of all these places and what is kept in them. • Have the photos on your computer and be ready to share them in class – we will use them in an exercise. Customer Journey Map – Your Concept • Construct a Customer Journey Map and Service Blueprint for one of the concepts that your team is considering - whichever seems most compelling or most interesting. • Be sure to have in mind the persona for whom you are constructing the Customer Journey Map and Service Blueprint. • Be prepared to present in class.	
Session 7 05 Nov 26	Topics	Reading Assignments
Positioning to Concept	Sweetwater The Value Proposition The Positioning Statement Strategic Positioning	• Sweetwater, HBS 9-695-026
Study Questions	Sweetwater • Using your own perspective (and those of your hiking friends), what are the important customer needs in the water purifier market? In other words, what characterizes an outstanding concept for a water purification device for the outdoors? • How would you structure these needs to best serve the concept design process? Why? • What does Sandy Platter need to do now? • What should be the Sweetwater product positioning? Will this be an easy or a tough sell? Why? • What should be the focus of subsequent market research?	
Prep Exercises	• Prepare the Sweetwater case individually, using the study questions as a guide	
Session 8 12 Nov 26	Topics	Reading Assignments
Storytelling	Telling an Effective Concept Story Feedback Presentation Skills	None

	Concepting and Storyboarding	
Prep Exercise	Final Project Concept and Positioning - As a team, use the tools we have learned in class sessions 6 and 7 to refine, focus, and elaborate your concept. - Construct, and submit on Canvas, your: - Positioning Statement - Be prepared to present this in class.	
Session 9 19 Nov 26	Topics	Reading Assignments
Concept Testing	Research Methods Quantifying Customer Insight: Conjoint Analysis Constructing the Research Plan	"Conjoint Analysis: A Manager's Guide." HBS Background Note 590-059
Study Questions	- How do we measure and quantify customer insights? - What are best/worst practices in survey design? - How do we analyze research data?	
Prep Exercises	Soft Drink Conjoint - Individually complete the survey at: http://lab.rady.ucsd.edu/sawtooth/smartwatch/login.html Final Project Concept Iteration - As a team, use the tools we have learned in class sessions 6, 7, and 8 to refine, focus, and elaborate your concept. - Construct, and submit on Canvas, your: - Revised Concept Description - Revised Positioning Statement - Revised Customer Journey(s) with corresponding Personas - Because the tools inform each other, you will likely need to iterate through several versions of the deliverables in order to reach a result that represents your best work. You will not be required to present any of these materials in class this week.	
Session 10 03 Dec 26	Topics	Reading Assignments
Final Presentations	Final Presentations Recap of the Course	None

	Next Steps The Business Model Canvas	
Prep Exercise	Research Plan and Materials • Consider the Focusing Function we introduced in class session 3 – how have your assumptions changed as your concept has evolved? • Revise your Survey and submit on Canvas, incorporating the feedback you received in class, and your own understanding of the critical questions to answer and assumptions to test. • You will <i>not</i> present this in class separately from your Final Presentation, but it will be an excellent <i>input</i> to your Final Presentation. Final Project Presentation • As a team, craft a presentation of your concept. ◦ Include, as appropriate, the insights, positioning, testing, and learnings that support your concept as desirable and viable. ◦ Submit your presentation on Canvas. ◦ You will have a maximum of 5 minutes to present.	